Snowy 2.0 is now expected to cost up to $25 billion: a warning for other megaprojects

Public spending and resource allocation: a strategically useful project can still be poorly planned, which links cost overruns to government failure and the case for independent appraisal.

WHAT HAPPENED

An official report confirmed Snowy 2.0, Australia's biggest renewable energy project, is expected to cost up to $25 billion and finish in late 2029. The 2017 estimate was $2 billion with no business case, and a revision about three years ago from $6 billion to $12 billion was based on incomplete designs.

The author says the problem is not one party: both approved projects before understanding costs and risks. Earlier this year Deloitte found 13 publicly funded road, rail and energy projects were $130 billion over their initial estimates.

He warns the pattern could repeat for High Speed Rail (at least $93 billion) and Melbourne's Suburban Rail Loop, whose first stage is expected to cost at least $33 billion. He notes key costings in the High Speed Rail business case were blanked out.

He argues for a more powerful independent statutory authority to appraise and validate costs, published cost-benefit analysis before approval, and an independent assessment of whether Snowy 2.0 should go ahead.

BY THE NUMBERS

up to $25 billion
Expected cost of Snowy 2.0
official report, Oct 2026 (about 12 times the original)

$2 billion
Original estimate, announced with no business case
2017

$6 billion to $12 billion
Earlier revision of the cost
about three years ago

late 2029
Completion date (eight years after the first projection)
Oct 2026

KEY TERMS

Cost-benefit analysis: A comparison of the full costs and benefits of a project to decide whether it is worth doing.

Government failure: When government intervention produces a worse outcome than intended, such as poor planning or wasted resources.

Cost overrun: When the final cost of a project exceeds its original estimate.

Pumped hydro: Storing energy by pumping water to a higher dam and releasing it to generate electricity when demand is high.

EXAM ANGLE

Government spending and resource allocation: a project can be strategically necessary yet badly managed. Use it for government failure, transparency and the case for independent appraisal, alongside the 23 Oct renewables record on the energy-transition side.

SYLLABUS LINK

TOPIC 4: fiscal policy (effects of budgetary changes on resource use). It links to TOPIC 4: political constraints on policy.

TRY THIS

Explain how cost overruns on large public projects can be an example of government failure. (4 MARKS)
Outline why an independent cost-benefit analysis may improve decisions about public infrastructure. (3 MARKS)

Source: Dominic Ahiaga-Dagbui (Deakin University), The Conversation, 23 October 2026. Summary written in our own words for classroom use; read the original for the full argument. https://theconversation.com/why-snowy-hydros-25-billion-cost-blowout-is-a-warning-sign-for-other-megaprojects-295057